

end abruptly when home owners begin to default. Investors currently rate any such risk as absolutely nonexistent. As proof, FNMA stock is up nearly 1000% in 7½ years and currently pushing toward yet another all-time high. The creditors, debtors and investors in all these transactions are obviously complacent to a record degree with respect to the job security of the debtors.

The link of debt/credit growth to confidence is clarified by the coincidence of peaks and valleys in the general percentage of home equity with major turns in the stock market, as shown in Figure 14-13. Stock buying is certainly a measure of confidence in future economic activity, and the coincident trend in debt shows that *borrowing and lending are a measure of this same confidence*. If the wave structure and valuation in the stock market have a message, it is that confidence is at a record high. The fact that borrowing of all kinds around the world is at an all-time record in the history of man supports the Elliott Wave case that the top in stocks is of Grand Supercycle degree. When that trend reverses, the contraction will set new records as well.

Professional Psychology Toward Inflation and Deflation

The first thing to note is that forecasts for deflation are nonexistent. In 1991, a spokesman for a famous think tank stated that the chances for deflation were "1 in 10,000." Some variation of that opinion is held by all mainstream economists.

The second point to note is that observers today, almost to a man, fear inflation the most and believe that the recent signs of low or nonexistent inflation are *bullish*. Indeed, countless times in the media, analysts have called the low inflation rate of the past two years "the best of all possible worlds" for investments and the economy. Actually, the trend toward deflation carries precisely the *opposite* of a bullish message, and that message will be delivered as soon as the coming deflation continues past the point normally seen in a moderate business cycle.

One tribute to the extent of professional and public optimism over "the containment of inflation," and thus lower interest rates and continued economic expansion, is a recent innovative offer from a major brokerage firm that depends for its success upon the maintenance of investor optimism on all three major investment fronts: the stock market, interest rates and real estate. With consumer home equity as a percentage of home value down from a high of 77% in